

I learned that you can't be emotional in this business. It's a business and nothing else. Going long when the market reopened was a purely emotional trade.

Do you think that your going long when the market reopened was influenced by guilt at having made money on 9/11 by being short?

Maybe. I never thought about it that way. I don't want to make excuses.

Actually, you were cheering for one side, which is a lethal mistake for a trader. As you know, you have to be neutral in this game. Your story reminds me of Ed Seykota's provocative observation in the first *Market Wizards* book: "Everybody gets what they want out of the market." Putting it into context of your experience on 9/11, you wanted to not feel guilty about having made money being short on 9/11, and by losing it all by being long when the market reopened, that's exactly what you got.

You have seen a lot of traders both on the floor and off the floor. What are some common mistakes traders make?

One big mistake is averaging losing trades. Trading is very hard, but it is also easy if you maintain discipline. People blow up because they lose their discipline.

I originally met with Benedict in late 2010. I called him in July 2011 for a midyear update.

I've had a very bad year. We're down almost 3 percent, and I'm trading smaller.

Well, that's consistent with your risk discipline. I guess it's probably a good thing that you are trading smaller or else you would have been down more.

Absolutely, but one of the hard things about managing client money is that although I am very patient, the clients aren't very patient. One of my problems is that I want to make everyone happy.

I'll give you some advice: You always have to manage money for yourself, not your clients. Once you start adjusting your trading to fit